

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 26-07

DOWN QUARK SYSTEMS LLC, SUNNYSIDE

DIGITAL INC.,

COMPLAINANTS,

v.

**ZIM AMERICAN INTEGRATED SHIPPING SERVICES CO.,
LLC; ZIM INTEGRATED SHIPPING SERVICES LTD.; PORT
OF HOUSTON AUTHORITY OF HARRIS COUNTY, TEXAS,
(OWNER AND OPERATOR OF THE BAYPORT CONTAINER
TERMINAL),**

RESPONDENTS

VERIFIED ANSWER

Respondent Port of Houston Authority of Harris County, Texas (“Port Houston”), by and through its undersigned attorneys, respectfully files this Verified Answer to the Verified Complaint (“Complaint”) of Down Quark Systems LLC (“DQS”) and SunnySide Digital Inc. (“SunnySide”) (together, the “Complainants”), as follows:

1. The allegations contained in Paragraph 1 of the Complaint, including subparts 1, 1.a., 1.b., and 2, are legal conclusions that do not require a response from Port Houston. To the extent a response from Port Houston is required, denied.

2. The allegations contained in Paragraph 2 of the Complaint, including subparts a., a.i., and b., are denied for lack of information sufficient to justify belief therein.
3. The allegations contained in Paragraph 3 of the Complaint are denied for lack of information sufficient to justify belief therein.
4. The allegations contained in Paragraph 4 of the Complaint do not relate to Port Houston and do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations contained in Paragraph 4 of the Complaint are denied for lack of information sufficient to justify belief therein.
5. The allegations contained in Paragraph 5 of the Complaint are legal conclusions that do not relate to or require a response from Port Houston. To the extent a response from Port Houston is required, the allegations contained in Paragraph 5 of the Complaint are denied for lack of information sufficient to justify belief therein.
6. The allegations contained in Paragraph 6 of the Complaint are admitted.
7. The allegations contained in Paragraph 7 of the Complaint are admitted in part and denied in part. Responding further, Port Houston states that the address of its Executive Offices was previously located at the location alleged, but are now located at 2960 Riverby Road, Houston, TX 77020. Port Houston admits that the address of the Bayport Container Terminal is 12619 Port Road, Pasadena, TX 77586.
8. The allegations contained in Paragraph 8 of the Complaint are admitted to the extent it is alleged that Port Houston is an FMC registered MTO with Organization No. 001947. All other allegations contained in Paragraph 8 are legal conclusions that do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations contained in Paragraph 8 of the Complaint are denied.

9. The allegations contained in Paragraph 9 of the Complaint are legal conclusions that do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations of Paragraph 9 are denied.
10. The allegations contained in Paragraph 10 of the Complaint are denied for lack of information sufficient to justify belief therein.
11. The allegations contained in Paragraph 11 of the Complaint are denied for lack of information sufficient to justify belief therein.
12. The allegations contained in Paragraph 12 of the Complaint are denied for lack of information sufficient to justify belief therein.
13. The allegations contained in Paragraph 13 of the Complaint do not relate to Port Houston and do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations contained in Paragraph 13 of the Complaint are denied for lack of information sufficient to justify belief therein.
14. The allegations contained in Paragraph 14 of the Complaint do not relate to Port Houston and do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations contained in Paragraph 14 of the Complaint are denied for lack of information sufficient to justify belief therein
15. The allegations contained in Paragraph 15 of the Complaint are denied.
16. The allegations contained in Paragraph 16 of the Complaint are denied for lack of information sufficient to justify belief therein.
17. The allegations contained in Paragraph 17 of the Complaint are denied for lack of information sufficient to justify belief therein.

18. The allegations contained in Paragraph 18 of the Complaint are denied for lack of information sufficient to justify belief therein.
19. The allegations contained in Paragraph 19 of the Complaint are denied for lack of information sufficient to justify belief therein.
20. The allegations contained in Paragraph 20 of the Complaint are denied for lack of information sufficient to justify belief therein.
21. The allegations contained in Paragraph 21 of the Complaint are denied for lack of information sufficient to justify belief therein.
22. The allegations contained in Paragraph 22 of the Complaint are denied for lack of information sufficient to justify belief therein.
23. The allegations contained in Paragraph 23 of the Complaint, including the table therein, are denied for lack of information sufficient to justify belief therein.
24. The allegations contained in Paragraph 24 of the Complaint are admitted.
25. The allegations contained in Paragraph 25 of the Complaint are denied for lack of information sufficient to justify belief therein.
26. The allegations contained in Paragraph 26 of the Complaint are denied for lack of information sufficient to justify belief therein.
27. The allegations contained in Paragraph 27 of the Complaint are denied for lack of information sufficient to justify belief therein to the extent the allegations concern the terms of ZIM Respondents' governing rules tariff. Responding further, Port Houston admits that last free day on the Containers was April 24, 2025.
28. The allegations contained in Paragraph 28 of the Complaint are denied for lack of information sufficient to justify belief therein to the extent the allegations concern the terms

of ZIM Respondents' governing rules tariff. Responding further, Port Houston admits that last free day on the Containers was April 24, 2025.

29. The allegations contained in Paragraph 29 of the Complaint are denied for lack of information sufficient to justify belief therein.
30. The allegations contained in Paragraph 30 of the Complaint are denied for lack of information sufficient to justify belief therein.
31. The allegations contained in Paragraph 31 of the Complaint are denied for lack of information sufficient to justify belief therein to the extent it is alleged that "At this point, it was impossible for Complainants to move any of the Containers from the Houston Bayport terminal due to the ongoing CBP hold." The remaining allegations of Paragraph 31 are legal conclusions that do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations contained in Paragraph 31 are denied.
32. The allegations contained in Paragraph 32 of the Complaint are denied for lack of information sufficient to justify belief therein.
33. The allegations contained in Paragraph 33 of the Complaint are denied for lack of information sufficient to justify belief therein.
34. The allegations contained in Paragraph 34 of the Complaint are denied for lack of information sufficient to justify belief therein.
35. The allegations contained in Paragraph 35 of the Complaint are denied for lack of information sufficient to justify belief therein.
36. The allegations contained in Paragraph 36 of the Complaint are denied for lack of information sufficient to justify belief therein to the extent it is alleged that "As a result of

the above, it continued to be impossible for Complainants to move any of the Containers to move any of the Containers from the Houston Bayport terminal due to the ongoing CBP hold.” The remaining allegations of Paragraph 36 call for legal conclusions that do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations of Paragraph 36 are denied.

37. The allegations contained in Paragraph 37 of the Complaint are denied for lack of information sufficient to justify belief therein.
38. The allegations contained in Paragraph 38 of the Complaint are denied for lack of information sufficient to justify belief therein.
39. The allegations contained in Paragraph 39 of the Complaint are denied for lack of information sufficient to justify belief therein.
40. The allegations contained in Paragraph 40 of the Complaint are denied for lack of information sufficient to justify belief therein.
41. The allegations contained in Paragraph 41 of the Complaint are denied for lack of information sufficient to justify belief therein.
42. The allegations contained in Paragraph 42 of the Complaint are legal conclusions that do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations of Paragraph 42 are denied.
43. The allegations contained in Paragraph 43 of the Complaint do not relate to Port Houston and do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations of Paragraph 43 are denied for lack of information sufficient to justify belief therein.

44. The allegations contained in Paragraph 44 of the Complaint do not relate to Port Houston and are legal conclusions that do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations of Paragraph 44 are denied for lack of information sufficient to justify belief therein.
45. The allegations contained in Paragraph 45 of the Complaint do not relate to Port Houston and are legal conclusions that do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations of Paragraph 45 are denied for lack of information sufficient to justify belief therein.
46. The allegations contained in Paragraph 46 of the Complaint do not relate to Port Houston and are legal conclusions that do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations of Paragraph 46 are denied for lack of information sufficient to justify belief therein.
47. The allegations contained in Paragraph 47 of the Complaint do not relate to Port Houston and do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations of Paragraph 47 are denied for lack of information sufficient to justify belief therein.
48. The allegations contained in Paragraph 48 of the Complaint are denied for lack of information sufficient to justify belief therein.
49. The allegations contained in Paragraph 49 of the Complaint are denied for lack of information sufficient to justify belief therein.
50. The allegations contained in Paragraph 50 of the Complaint are denied for lack of information sufficient to justify belief therein.

51. The allegations contained in Paragraph 51 of the Complaint are denied for lack of information sufficient to justify belief therein.
52. The allegations contained in Paragraph 52 of the Complaint are denied for lack of information sufficient to justify belief therein.
53. The allegations contained in Paragraph 53 of the Complaint are denied for lack of information sufficient to justify belief therein.
54. The allegations contained in Paragraph 54 of the Complaint are denied.
55. The allegations contained in Paragraph 55 of the Complaint are denied for lack of information sufficient to justify belief therein.
56. The allegations contained in Paragraph 56 of the Complaint are legal conclusions that do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations of Paragraph 56 are denied.
57. The allegations contained in Paragraph 57 of the Complaint are denied.
58. The allegations contained in Paragraph 58 of the Complaint are denied as written. It is admitted that the subject Containers accrued Import Dwell Fees; all other allegations contained in Paragraph 58 of the Complaint are denied.
59. The allegations contained in Paragraph 59 of the Complaint call for the interpretation of a written document, which speaks for itself and is its own best evidence, and do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations are denied.
60. The allegations contained in Paragraph 60 of the Complaint call for the interpretation of a written document, which speaks for itself and is its own best evidence, and do not require

a response from Port Houston. To the extent a response from Port Houston is required, the allegations are denied.

61. The allegations contained in Paragraph 61 of the Complaint call for the interpretation of a written document, which speaks for itself and is its own best evidence, and do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations are denied.
62. The allegations contained in Paragraph 62 of the Complaint call for the interpretation of a written document, which speaks for itself and is its own best evidence, and do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations are denied.
63. The allegations contained in Paragraph 63 of the Complaint are admitted only to the extent it is alleged that SunnySide sent a waiver request of the Dwell Fees on August 25, 2025. Responding further, Port Houston states that SunnySide's August 25, 2025, email was not sent to the email address provided by Port Houston for disputing charges. All other allegations contained in Paragraph 63 of the Complaint are denied for lack of information sufficient to justify belief therein and/or are legal conclusions that do not require a response from Port Houston and are denied.
64. The allegations contained in Paragraph 64 of the Complaint are denied.
65. The allegations contained in Paragraph 65 of the Complaint are admitted only to the extent it is alleged that SunnySide requested a 25% reduction of the dwell fees owed to Port Houston. All other allegations contained in Paragraph 65 of the Complaint are denied for lack of information sufficient to justify belief therein and are legal conclusions that do not require a response from Port Houston. Responding further, Port Houston states that

SunnySide's request was not sent to the appropriate dispute resolution email address, which was available and known to SunnySide.

66. The allegations contained in Paragraph 66 of the Complaint are denied. Responding further, Port Houston admits that the Containers accrued Port Import Dwell Fees, not Port Houston.
67. The allegations contained in Paragraph 67 of the Complaint are denied.
68. The allegations contained in Paragraph 68 of the Complaint are admitted only to the extent it is alleged that Houston responded to SunnySide's emails on September 19, 2025, through September 22, 2025, informing SunnySide that the Lynx Portal system was not showing that CBP's hold on the Containers had been released. Port Houston denies the allegation that SunnySide provided it with the "Automated Commercial Environment ("ACE") system documentation confirming CBP's release" for lack of information sufficient to justify belief therein. All remaining allegations contained in Paragraph 68 of the Complaint are denied.
69. The allegations contained in Paragraph 69 of the Complaint are denied.
70. The allegations contained in Paragraph 70 of the Complaint are admitted only to the extent it is alleged that Port Houston Tariff No. 15 Subrule No. 095(A), Article 4, "Payment", in effect during September 2025, reads as follows: "Accrued Sustained Import Dwell Fee charges assessed against a unit must be paid before it leaves the Terminal gate." All other allegations contained in Paragraph 70 are legal conclusions that do not require a response from Port Houston and are denied.

71. The allegations contained in Paragraph 71 of the Complaint call for legal conclusions that do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations of Paragraph 71 are denied.
72. The allegations contained in Paragraph 72 of the Complaint are denied. Responding further, Port Houston admits only that on September 22, 2025, SunnySide remitted payment in the amount of \$917,458.74 by ACH wire transfer for the outstanding dwell fees owed.
73. The allegations contained in Paragraph 73 of the Complaint are legal conclusions that do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations of Paragraph 73 are denied.
74. The allegations contained in Paragraph 74 of the Complaint are legal conclusions that do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations of Paragraph 74 are denied.
75. The allegations contained in Paragraph 75 of the Complaint are legal conclusions that do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations of Paragraph 75 are denied.
76. The allegations contained in Paragraph 76 of the Complaint, including subparagraphs a. and b., are legal conclusions that do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations are denied.
77. The allegations contained in Paragraph 77 of the Complaint are legal conclusions that do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations of Paragraph 77 are denied.
78. The allegations contained in Paragraph 78 of the Complaint are denied.

79. The allegations contained in Paragraph 79 of the Complaint are legal conclusions that do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations of Paragraph 79 are denied.
80. The allegations contained in Paragraph 80 of the Complaint are legal conclusions that do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations of Paragraph 80 are denied.
81. The allegations contained in Paragraph 81 of the Complaint are legal conclusions that do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations of Paragraph 81 are denied.
82. The allegations contained in Paragraph 82 of the Complaint are denied.
83. The allegations contained in Paragraph 83 of the Complaint are denied.
84. The allegations contained in Paragraph 84 of the Complaint are denied for lack of information sufficient to justify belief therein.
85. The allegations contained in Paragraph 85 of the Complaint are denied for lack of information sufficient to justify belief therein.
86. The allegations contained in Paragraph 86 of the Complaint are legal conclusions that do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations of Paragraph 86 are denied.
87. The allegations contained in Paragraph 87 of the Complaint are denied.
88. The allegations contained in Paragraph 88 of the Complaint are denied.
89. The allegations contained in Paragraph 89 of the Complaint are denied.

90. The allegations contained in Paragraph 90 of the Complaint are legal conclusions that do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations of Paragraph 90 are denied.
91. The allegations contained in Paragraph 91 of the Complaint are admitted only to the extent it is alleged that SunnySide sent a waiver request of the Dwell Fees on August 25, 2025. Responding further, Port Houston states that SunnySide's August 25, 2025, request was not sent to the email address provided by Port Houston for disputing charges. All other allegations contained in Paragraph 91 are legal conclusions that do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations of Paragraph 91 are denied.
92. The allegations contained in Paragraph 92 of the Complaint are admitted only to the extent it is alleged that the Containers were outgated from Port Houston on or about September 23, 2025. All other allegations of Paragraph 92 are denied.
93. The allegations contained in Paragraph 93 of the Complaint are denied for lack of information sufficient to justify belief therein.
94. The allegations contained in Paragraph 94 of the Complaint are denied for lack of information sufficient to justify belief therein.
95. The allegations contained in Paragraph 95 of the Complaint are denied for lack of information sufficient to justify belief therein.
96. The allegations contained in Paragraph 96 of the Complaint are denied for lack of information sufficient to justify belief therein.
97. The allegations contained in Paragraph 97 of the Complaint are denied for lack of information sufficient to justify belief therein.

98. The allegations contained in Paragraph 98 of the Complaint, including subparts a. through d., are denied for lack of information sufficient to justify belief therein.
99. The allegations contained in Paragraph 99 of the Complaint are denied for lack of information sufficient to justify belief therein.
100. The allegations contained in Paragraph 100 of the Complaint are denied for lack of information sufficient to justify belief therein.
101. The allegations contained in Paragraph 101 of the Complaint are denied for lack of information sufficient to justify belief therein.
102. The allegations contained in Paragraph 102 of the Complaint are denied for lack of information sufficient to justify belief therein.
103. The allegations contained in Paragraph 103 of the Complaint are denied for lack of information sufficient to justify belief therein.
104. The allegations contained in Paragraph 104 of the Complaint are denied for lack of information sufficient to justify belief therein.
105. The allegations contained in Paragraph 105 of the Complaint are denied for lack of information sufficient to justify belief therein.
106. The allegations contained in Paragraph 106 of the Complaint are denied for lack of information sufficient to justify belief therein.
107. The allegations contained in Paragraph 107 of the Complaint are denied.
108. The allegations contained in Paragraph 108 of the Complaint are denied.
109. The allegations contained in Paragraph 109 of the Complaint are denied for lack of information sufficient to justify belief therein.

110. The allegations contained in Paragraph 110 of the Complaint are denied for lack of information sufficient to justify belief therein.
111. The allegations contained in Paragraph 111 of the Complaint are denied for lack of information sufficient to justify belief therein.
112. The allegations contained in Paragraph 112 of the Complaint are denied for lack of information sufficient to justify belief therein.
113. The allegations contained in Paragraph 113 of the Complaint are denied for lack of information sufficient to justify belief therein.
114. The allegations contained in Paragraph 114 of the Complaint, including subparts a. through c., are denied for lack of information sufficient to justify belief therein.
115. The allegations contained in Paragraph 115 of the Complaint are denied for lack of information sufficient to justify belief therein.
116. The allegations contained in Paragraph 116 of the Complaint are legal conclusions that do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations of Paragraph 116 are denied.
117. The allegations contained in Paragraph 117 of the Complaint are denied to the extent it is alleged that Port Houston engaged in “unreasonable conduct.” All other allegations of Paragraph 117 are denied for lack of information sufficient to justify belief therein.
118. The allegations contained in Paragraph 118 of the Complaint are admitted only to the extent it is alleged that counsel to Complainants sent a letter dated October 22, 2025, to “BayportCustomerService@porthouston.com”. All other allegations of Paragraph 118 are denied or denied for lack of information sufficient to justify belief therein.

119. The allegations contained in Paragraph 119 of the Complaint are admitted only to the extent it is alleged that on October 23, 2025, Rachel Garcia, a Port Houston Customer Service Coordinator, provided the ZIM USA Customer Service Import email address (“us.service.imp@zim.com”) to counsel to Complainants. All other allegations contained in Paragraph 119 are denied.
120. The allegations contained in Paragraph 120 of the Complaint are denied for lack of information sufficient to justify belief therein.
121. The allegations contained in Paragraph 121 of the Complaint are denied for lack of information sufficient to justify belief therein.
122. The allegations contained in Paragraph 122 of the Complaint are denied for lack of information sufficient to justify belief therein.
123. The allegations contained in Paragraph 123 of the Complaint are denied for lack of information sufficient to justify belief therein.
124. The allegations contained in Paragraph 124 of the Complaint are denied for lack of information sufficient to justify belief therein.
125. The allegations contained in Paragraph 125 of the Complaint are denied for lack of information sufficient to justify belief therein.
126. The allegations contained in Paragraph 126 of the Complaint are denied for lack of information sufficient to justify belief therein.
127. The allegations contained in Paragraph 127 of the Complaint are denied for lack of information sufficient to justify belief therein.
128. The allegations contained in Paragraph 128 of the Complaint are denied for lack of information sufficient to justify belief therein.

129. The allegations contained in Paragraph 129 of the Complaint are denied for lack of information sufficient to justify belief therein.
130. The allegations contained in Paragraph 130 of the Complaint are denied for lack of information sufficient to justify belief therein.
131. The allegations contained in Paragraph 131 of the Complaint are denied for lack of information sufficient to justify belief therein.
132. The allegations contained in Paragraph 132 of the Complaint are denied for lack of information sufficient to justify belief therein.
133. The allegations contained in Paragraph 133 of the Complaint are legal conclusions that do not require a response from Port Houston. To the extent a response from Port Houston is required, the allegations of Paragraph 133 are denied.
134. The allegations contained in Paragraph 134 of the Complaint are denied for lack of information sufficient to justify belief therein.
135. The allegations contained in Paragraph 135 of the Complaint are denied to the extent they relate to or concern Port Houston. All other allegations of Paragraph 135 are denied for lack of information sufficient to justify belief therein.
136. The allegations contained in Paragraph 136 of the Complaint are denied for lack of information sufficient to justify belief therein.
137. The allegations contained in Paragraph 137 of the Complaint are denied for lack of information sufficient to justify belief therein.
138. The allegations contained in Paragraph 138 of the Complaint, including subparts a. through f., are denied for lack of information sufficient to justify belief therein.

139. To the extent the allegations contained in Paragraph 139 of the Complaint asserts Port Houston violated Section 41102(c) of the Shipping Act, the allegations are denied. Otherwise, the allegations of Paragraph 139 are a restatement of Section 41102(c) of the Shipping Act and do not require a response from Port Houston. Subject to the foregoing denial and to the extent a response from Port Houston is required, admitted.
140. The allegations contained in Paragraph 140 of the Complaint are a restatement of Section 41104(a)(2) of the Shipping Act and do not require a response from Port Houston. To the extent a response from Port Houston is required, admitted.
141. The allegations contained in Paragraph 141 of the Complaint are a restatement of Section 41102(a)(4) of the Shipping Act and do not require a response from Port Houston. To the extent a response from Port Houston is required, admitted.
142. To the extent the allegations contained in Paragraph 142 of the Complaint assert Port Houston violated Section 41106(2) of the Shipping Act, the allegations are denied. Otherwise, the allegations of Paragraph 142 are a restatement of Section 41106(2) of the Shipping Act and do not require a response from Port Houston. Subject to the foregoing denial and to the extent a response from Port Houston is required, admitted.
143. To the extent the allegations contained in Paragraph 143 of the Complaint assert Port Houston violated Section 40501(a)(1), (b)(2), and/or (b)(4) of the Shipping Act, the allegations are denied. Otherwise, the allegations of Paragraph 143 are a restatement of Section 40501(a)(1), (b)(2), and (b)(4) of the Shipping Act and do not require a response from Port Houston. Subject to the foregoing denial and to the extent a response from Port Houston is required, admitted.

144. To the extent the allegations contained in Paragraph 144 of the Complaint assert Port Houston violated 46 C.F.R. § 545.5, the allegations are denied. Otherwise, the allegations of Paragraph 143 are a restatement of 46 C.F.R. § 545.5, in part, and do not require a response from Port Houston. Subject to the foregoing denial and to the extent a response from Port Houston is required, admitted.
145. The allegations contained in Paragraph 145 of the Complaint are admitted to the extent it is alleged that Part 541 of 46 C.F.R. concerns billing requirements and practices for detention and demurrage invoicing. To the extent Paragraph 145 alleges that “dwell” is included in the regulation and/or that Port Houston violated any part or parts of the regulation, denied.
146. The allegations contained in Paragraph 146 of the Complaint are denied.
147. The allegations contained in Paragraph 147 of the Complaint are denied.
148. The allegations contained in Paragraph 148 of the Complaint are denied.
149. The allegations contained in Paragraph 149 of the Complaint are denied.
150. The allegations contained in Paragraph 150 of the Complaint are denied.
151. The allegations contained in Paragraph 151 of the Complaint are denied for lack of information sufficient to justify belief therein.
152. The allegations contained in Paragraph 152 of the Complaint are denied for lack of information sufficient to justify belief therein.
153. The allegations contained in Paragraph 153 of the Complaint are denied for lack of information sufficient to justify belief therein.
154. The allegations contained in Paragraph 154 of the Complaint are denied for lack of information sufficient to justify belief therein.

155. The allegations contained in Paragraph 155 of the Complaint are denied.
156. The allegations contained in Paragraph 156 of the Complaint are denied.
157. The allegations contained in Paragraph 157 of the Complaint are denied for lack of information sufficient to justify belief therein.
158. The allegations contained in Paragraph 158 of the Complaint, including subparts i. through iv., are denied.
159. The allegations contained in Paragraph 159 of the Complaint are denied.
160. The allegations contained in Paragraph 160 contain Complainants' request for oral hearing and does not require response from Port Houston. To the extent a response is required, Port Houston also requests oral hearing in this matter and the Federal Maritime Commission in Washington, DC.
161. The allegations contained in Paragraph 161 of the Complaint, including subparts 1) through 8), constitute Complainants' prayer for relief and do not require a response from Port Houston. To the extent a response from Port Houston is required, Complainants' prayer for relief is denied.

AFFIRMATIVE DEFENSES

1. The Complaint fails to state a claim upon which relief may be granted.
2. The Complainants have waived all of their claims against Port Houston by failing to use the procedures required by the Federal Maritime Commission and maintained by Port Houston for addressing disputes over demurrage charges.
3. Any harms allegedly sustained by Complainants were the result of their own failures, acts, or omissions.

4. To the extent that Complainants' claims involve charges assessed, invoiced, or collected by entities other than Port Houston, Port Houston is not responsible for the imposition of such charges.
5. Complainants failed to mitigate their damages, in whole or in part.
6. On multiple occasions, Complainants refused the offers of Port Houston to assist them in procuring a bonded storage facility to mitigate, in whole or in part, the damages they now complain of.
7. Complainants' claims are barred in whole or in part by the doctrines of laches, estoppel, waiver, and unclean hands.
8. Any damages allegedly sustained by Complainants were proximately, directly, and solely caused by the acts or omissions of Complainants and/or third persons over whom Port Houston had and has no direction or control.

REQUEST FOR ORAL HEARING

Port Houston requests an oral hearing on this matter at the Federal Maritime Commission, 800 North Capitol Street, NW, Washington, DC 20573.

WHEREFORE, Respondent Port of Houston Authority of Harris County, Texas respectfully requests that the Complaint of Complainants Down Quark Systems LLC and SunnySide Digital Inc. be denied with prejudice, that judgment be entered in favor of Port Houston, and against Complainants, that all costs of suit, including reasonable attorneys' fees, be awarded to Port Houston, and that the Federal Maritime Commission award any and all additional and equitable relief to which Port Houston is entitled.

Dated: June 22, 2026

Respectfully Submitted,

HOLLAND & KNIGHT LLP



Christopher R. Nolan
31 West 52nd Street
New York, NY 10019
Telephone: (212) 513-3200
chris.nolan@hklaw.com

Gerald A. Morrissey III
Michael T. Amy
800 17th Street N.W., Suite 1100
Washington D.C., 20006
Telephone: (202) 469-5497
gerald.morrissey@hklaw.com
michael.amy@hklaw.com

*Counsel to Respondent Port of Houston
Authority of Harris County, Texas*

VERIFICATION

I, Jenniffer Aksoy, am the Customer Service Manager, Container Terminals of Respondent Port of Houston Authority of Harris County, Texas, and hereby declare and attest under penalty of perjury that I have read the foregoing Verified Answer and believe, to the best of my knowledge, information, and belief, that the facts stated therein are true and correct.

Dated: June 22, 2026



Jennifer Aksoy

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail on the following persons/addresses:

1. Office of the Secretary
Federal Maritime Commission
secretary@fmc.gov
2. Hon. Alex M. Chintella – *Administrative Law Judge*
Federal Maritime Commission
judges@fmc.gov
3. Jones Walker LLP
Counsel to Complainants
Down Quark Systems LLC and SunnySide Digital Inc.
 - a. Julia Bonestroo Banegas
jbanegas@joneswalker.com
 - b. Christopher M. Hannan
channan@joneswalker.com
 - c. Ilsa H. Luther
iluther@joneswalker.com
 - d. Keiana S. Palmer
kpalmer@joneswalker.com
4. Liskow & Lewis, APLC
Counsel to Respondents
Zim American Integrated Shipping Services Co., LLC and
Zim Integrated Shipping Services Ltd.
 - a. William H. Yost
whyost@liskow.com
 - b. Chelsea C. Crews
ccrews@liskow.com

Dated: June 22, 2026

Respectfully Submitted,

HOLLAND & KNIGHT LLP

By: /s/ Michael T. Amy

Michael T. Amy, Esq.
800 17th Street N.W., Suite 1100
Washington, D.C. 20006
Telephone: 202.469.5706
michael.amy@hklaw.com

*Counsel to Respondent Port of Houston
Authority of Harris County, Texas*